Chapter 8 Practice Questions

Practice Question 1

Jasmine has recently moved to VANCOUVER because she loves the moderate climate there. Being new to the area, she will need to spend a few weeks looking for a new job. This is an example of:

A) frictional unemployment.

B) cyclical unemployment.

C) structural unemployment.

D) underemployment.

Practice Question 2

After working five years at a furniture factory, Carlos loses his job when the company installs new automated machinery that can produce furniture faster and with fewer workers. Carlos's woodworking skills are no longer in demand, and he struggles to find similar work. This is an example of:

A) frictional unemployment.

B) cyclical unemployment.

C) structural unemployment.

D) underemployment.

Practice Question 3

Due to a nationwide economic downturn, Aiden's construction company temporarily closes several job sites. He is laid off until business improves and new projects begin again. This is an example of:

A) frictional unemployment.

B) cyclical unemployment.

C) structural unemployment.

D) voluntary unemployment.

Practice Question 4

During a period of high inflation, Sofia regularly moves her savings between different accounts and investments to avoid losing value to rising prices. She checks exchange rates and interest rates almost daily to decide where to keep her money. This is an example of:

A) menu cost.

B) shoe-leather cost.

C) unit-of-account cost.

D) hidden inflation.

Practice Question 5

Because prices are changing frequently, a grocery chain must constantly update prices across its online store and in-store scanners, retraining staff and reprogramming systems each time. This ongoing adjustment uses up time and resources. This is an example of:

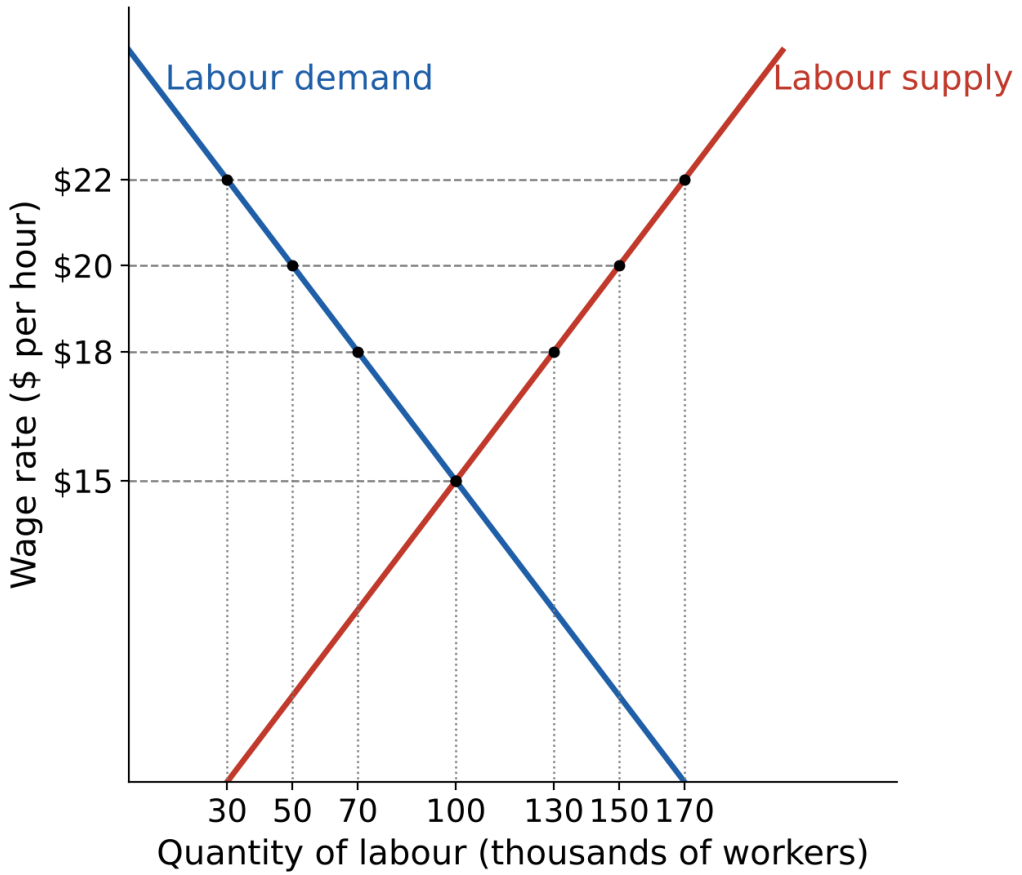
A) menu cost.

B) shoe-leather cost.

C) structural cost.

D) information cost.

Practice Question 6



The figure shows the labour market. If the wage is set at $20 per hour, how many workers are unemployed?

A) 50,000

B) 60,000

C) 100,000

D) 150,000

55/110 * 100 = 55 000

Practice Question 7

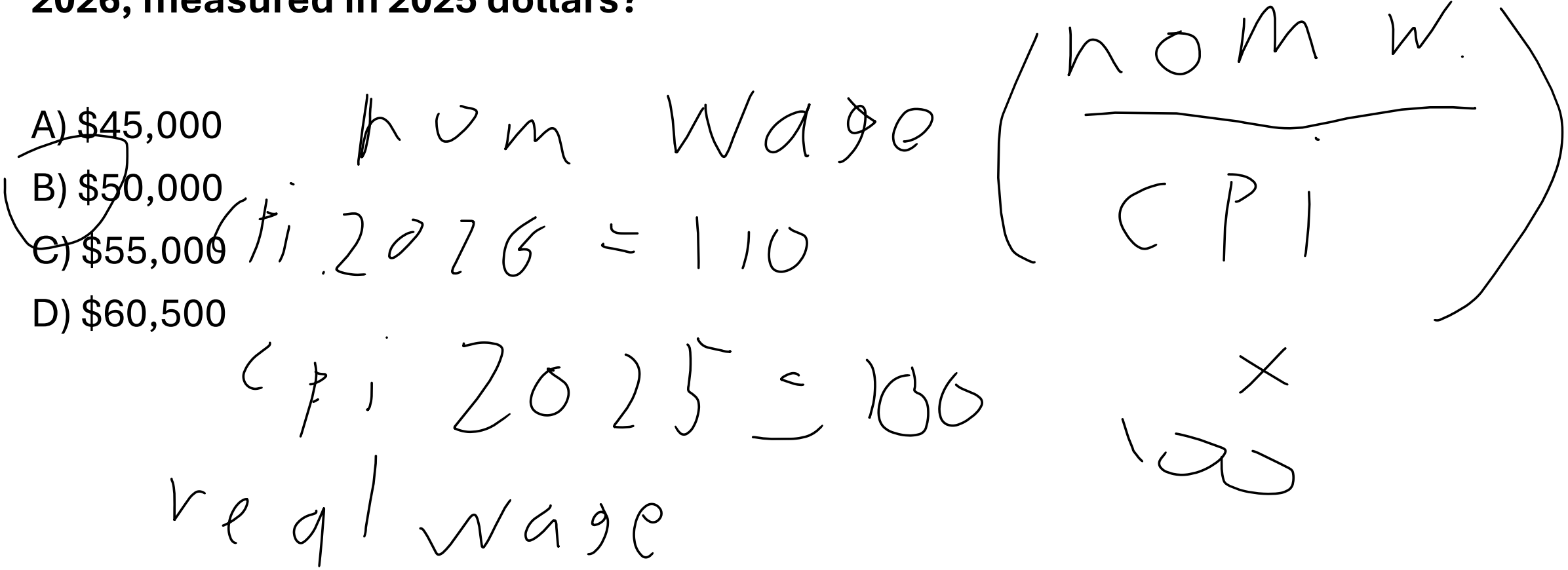
Maya earned $50,000 in 2025. In 2026 her salary rose to $55,000. Over the same period the CPI rose from 100 to 110. What is Maya's real income in 2026, measured in 2025 dollars?

A) $45,000

B) $50,000

C) $55,000

D) $60,500



Practice Question 8

Omar puts his savings in a bank account that pays a nominal interest rate of 7% per year. Over the year, the inflation rate is 3%. What is the real interest rate Omar earns?

A) 3%

B) 4%

C) 7%

D) 10%